

Inflation targeting regime has worked well. Changes that dilute RBI's monetary policy framework should be avoided

In 2016, India shifted to an inflation targeting regime. **The inflation target** of 4 per cent with a **band** of plus/minus 2 per cent **was** initially set for a five-year period ending in 2021. **Subsequently**, in March 2021, the government **retained** the inflation target for another five years. With the second review of the **framework** due early next year, the RBI has now released a discussion paper on the monetary policy regime. The paper **examines** how inflation targeting has **fared** in India over the past nine years, and also raises several questions over its structure.

On balance, shifting to this **framework** has “served India well”. Inflation has averaged 4.9 per cent after the shift, as compared to an average of 6.8 per cent in the period before that. The framework has provided the **Monetary Policy Committee** the **flexibility** to **deal with** challenging economic situations — during the pandemic years, **for instance**, it allowed for greater weightage to be attached to growth priorities in the decision matrix. The regime has also **brought about accountability** — when inflation stayed above the upper **threshold** of 6 per cent, the RBI was required to send a report to the government detailing why the target was not met and the corrective action that needed to be taken. **Alongside**, **publication** of the **minutes** of the committee meeting, which are released with a gap of two weeks, **has** brought about **transparency** in the decision-making process by detailing the thinking and **rationale** for the decisions of each committee member. Further, by **putting in place** a six-member committee to decide on policy, more voices have been **incorporated** in decision-making.

The **questions** raised by the discussion paper **centre around** whether the 4 per cent target is **optimal**, if it should be replaced by a range, if the tolerance bands should be changed or **done away with** and whether headline or **core inflation** is the best guide for policy. Each of these has been explored in great detail. The paper notes that across the world, while 48 countries have adopted this framework, with differing targets and ranges, “no major country” has ever shifted away. The framework has been **tweaked** on occasion, however, to **reflect** changing domestic and global conditions. On the issue of targeting headline vs core inflation, RBI continues to **veer on** the side of headline inflation. “Any **attempt** to **anchor** inflation expectations **should** not ignore shocks to food and fuel,” it says. Globally, too, headline inflation is favoured. In fact, the paper notes that “Uganda is the only country that targets core inflation”. It takes time to build **credibility**. **Any changes** that are **perceived** as either **undermining** or diluting the current framework, such as raising the target or shifting to range targeting, **run the risk of** “eroding policy credibility”. These are best avoided. As the central bank notes, “the **conduct** of monetary policy frameworks **needs** both policy certainty and credibility”. **[Practice Exercise]**

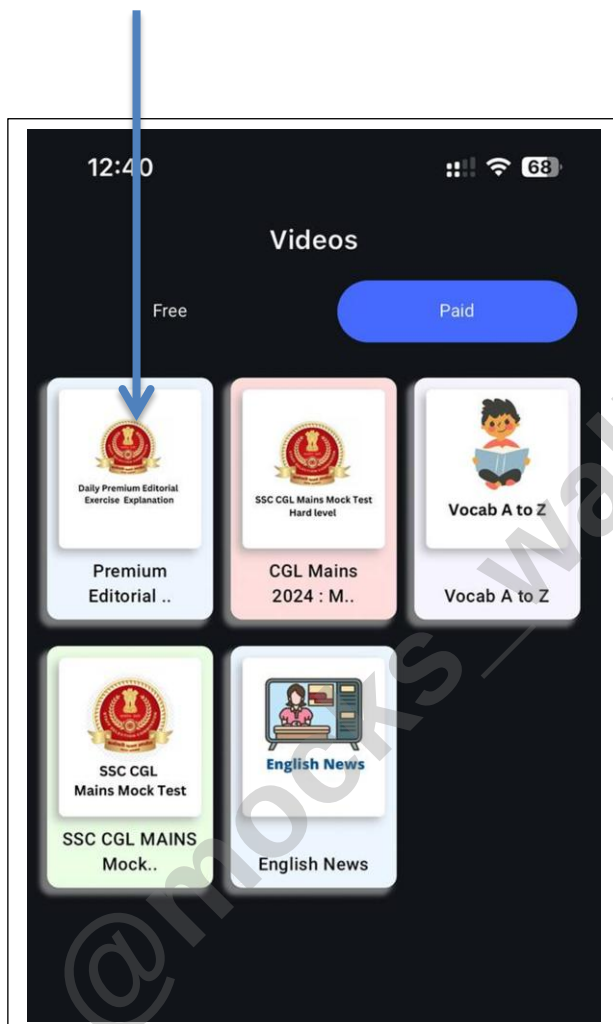
- Red/blue coloring of words in the sentence indicates subject verb relationship; where ‘red’ denotes ‘subject’ and ‘blue’ denotes ‘verb’.

Vocabulary

1. **Regime** (noun) – framework, system, arrangement, setup, order व्यवस्था
2. **Dilute** (verb) – weaken, water down, soften, reduce, attenuate कमजोर करना
3. **Band** (noun) – range, corridor, bracket, interval, spread दायरा
4. **Subsequently** (adverb) – later, afterwards, thereafter, next, in due course बाद में
5. **Retain** (verb) – keep, maintain, preserve, hold, continue बनाए रखना
6. **Framework** (noun) – structure, schema, blueprint, architecture, matrix रूपरेखा
7. **Examine** (verb) – analyze, assess, evaluate, study, scrutinize जाँचना
8. **Fare** (verb) – perform, do, manage, turn out, progress प्रदर्शन करना
9. **Framework** (noun) – outline, scheme, scaffolding, setup, governance structure ढांचा
10. **Monetary policy committee** (noun) – a committee constituted by the Central Government and led by the Governor of RBI. मौद्रिक नीति समिति
11. **Flexibility** (noun) – adaptability, leeway, latitude, elasticity, nimbleness लचीलापन
12. **Deal with** (phrasal verb) – handle, address, tackle, manage, contend with निपटना
13. **For instance** (phrase) – for example, such as, to illustrate, say, e.g. उदाहरण के लिए
14. **Bring about** (phrasal verb) – cause, generate, produce, effect, lead to उत्पन्न करना
15. **Accountability** (noun) – answerability, responsibility, liability, transparency, account-giving जवाबदेही
16. **Threshold** (noun) – limit, ceiling, boundary, cutoff, trigger point सीमा-स्तर
17. **Alongside** (adverb) – together with, along with, besides, in parallel, concurrently के साथ-साथ
18. **Minute** (noun) – a summarized record of the proceedings at a meeting. कार्यवृत्त
19. **Transparency** (noun) – openness, clarity, visibility, lucidity, accountability पारदर्शिता
20. **Rationale** (noun) – reasoning, justification, logic, basis, grounds तर्काधार
21. **Put in place** (phrase) – establish, set up, institute, implement, install लागू करना
22. **Incorporate** (verb) – include, integrate, embed, fold in, absorb सम्मिलित करना

23. **Centre around** (phrasal verb) – focus on, revolve around, hinge on, concentrate on, be about केंद्रित होना
24. **Optimal** (adjective) – best, ideal, most efficient, most suitable, optimum सर्वोत्तम
25. **Do away with** (phrase) – abolish, scrap, eliminate, dispense with, repeal खत्म करना
26. **Core inflation** (noun) – a measure of price increases that excludes the most volatile components of the Consumer Price Index (CPI), typically food and energy prices.
27. **Tweak** (verb) – adjust, modify, fine-tune, recalibrate, tune हल्का संशोधित करना
28. **Reflect** (verb) – mirror, indicate, show, represent, reveal प्रतिबिंबित करना
29. **Veer** (on) (verb) – lean toward, tilt toward, gravitate toward, trend toward, incline toward झुकना
30. **Anchor** (verb) – stabilize, fix, peg, ground, root स्थिर करना
31. **Credibility** (noun) – trustworthiness, reliability, believability, legitimacy, credit विश्वसनीयता
32. **Perceive** (verb) – regard, view, see, consider, deem समझना
33. **Undermine** (verb) – weaken, erode, impair, sap, undercut कमजोर करना
34. **Run the risk of** (phrase) – risk, be liable to, be in danger of, court the risk of, chance जोखिम उठाना
35. **Erode** (verb) – wear away, diminish, corrode, eat into, whittle down क्षीण करना

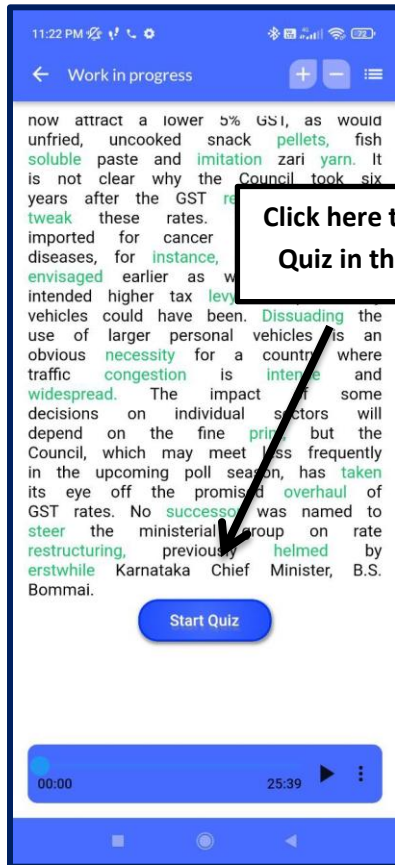
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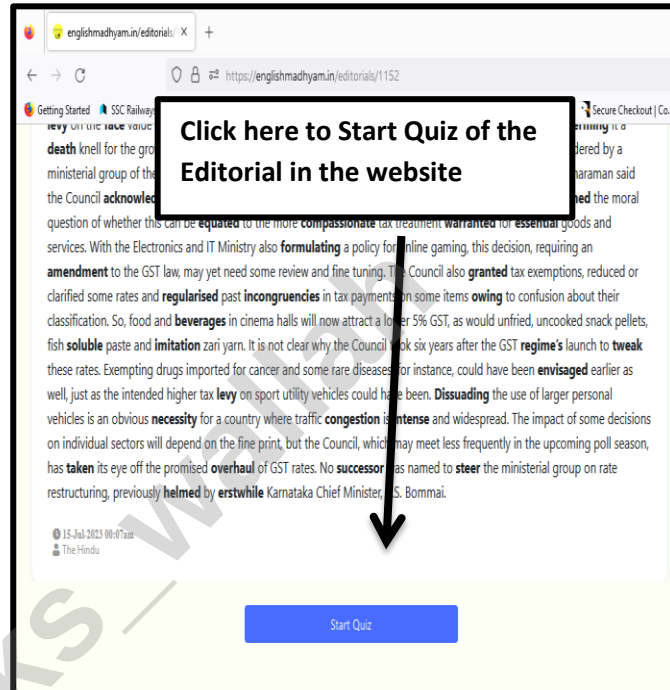
Summary of the Editorial

1. **Adoption of Inflation Targeting (2016)** – India shifted to an inflation targeting (IT) regime with a 4% target ($\pm 2\%$ band) for 2016–21.
2. **Extension in 2021** – The government extended the framework for another five years, until March 2026.
3. **Upcoming Review** – A second review is due in early 2026; RBI has released a discussion paper assessing the regime.
4. **Framework Success** – Inflation averaged **4.9%** post-2016 compared to **6.8%** before, showing improvement.
5. **Flexibility in Crisis** – During the pandemic, the MPC could balance inflation control with growth priorities.
6. **Accountability Mechanism** – If inflation exceeds 6%, RBI must explain reasons to the government and outline corrective action.
7. **Transparency Boost** – Publishing MPC minutes within two weeks ensures clarity on members' reasoning and policy decisions.
8. **Inclusive Decision-Making** – The six-member MPC structure brings multiple perspectives, reducing concentration of power.
9. **Global Adoption** – 48 countries follow inflation targeting, with no major country abandoning the framework.
10. **Flexibility in Practice** – Countries tweak ranges/targets to reflect domestic and global economic shifts.
11. **Debates Raised** – RBI paper questions: Should India stick to 4% target? Shift to a range? Alter tolerance band? Focus on core vs. headline inflation?
12. **Headline vs. Core** – RBI favours **headline inflation** (including food and fuel), as ignoring shocks weakens credibility.
13. **Global Norms** – Headline inflation is the global standard; only Uganda targets core inflation exclusively.
14. **Risk of Dilution** – Raising targets, widening bands, or shifting to range-targeting may erode **policy credibility**.
15. **Need for Stability** – The framework must rest on **certainty and credibility**; unnecessary changes could weaken monetary policy effectiveness.

Practice Exercise: Banking Pattern Based



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